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Strategic Trading Analysis

Based on the detailed PDF analysis report for **ITC.NS**, here is the positional trading assessment.

Note on Date: The report data is dated **February 21, 2026**. I am conducting this analysis treating this date as "Current" (T), assuming this is a backtest or a forward-simulation scenario.

Step 1: Audit the Data

- **Data Present:**
  - **Price Action:** Daily, Weekly, and 15-minute candlestick charts.
  - **Trend Indicators:** EMA (20, 50, 200), Supertrend, MACD.
  - **Volatility/Momentum:** Bollinger Bands, RSI, Volatility Squeeze, ATR.
  - **Volume:** Volume bars, Moving Averages, Distribution/Accumulation signals.
  - **Fundamentals:** Long-term and Short-term growth metrics, Analyst estimates.
  - **Relative Strength:** RS score vs. CNXFMCG sector.
- **Data Missing:**
  - **Option Chain Data:** Open Interest (OI) analysis would help confirm resistance levels at strikes like 330 or 340.
  - **Institutional Activity:** FII/DII daily flow data is not explicitly detailed, though volume analysis acts as a proxy.
- **Confidence Level: High**. The report provides a comprehensive technical and fundamental picture sufficient for a swing/positional trade decision.

Step 2: Analyze the Setup

Price Structure & Trend:

- **Long-Term Bearish:** The stock is in a "Strong **Downtrend**" on the weekly timeframe (Page 22). It suffered a massive gap-down crash in Jan 2026 (likely an earnings reaction or corporate event) from the 400s down to ~300.
- **Short-Term Recovery:** The stock is currently attempting a mean reversion (Dead Cat Bounce). It has stabilized above INR 300 and is trading at INR 327.
- **EMA Context:** Price is trading *above* the 20 EMA (323.47) but remains *below* the critical 50 EMA (339.62) and 200 EMA (378.76). This indicates the immediate short-term momentum is positive, but the intermediate trend is still capped by resistance.

Momentum & Volume:

- **MACD: Bullish** crossover (Page 12) deep in negative territory suggests an oversold bounce is in progress. However, momentum is listed as "Weakening."
- **RSI:** Neutral at 50.41. It has recovered from oversold but lacks the "power zone" (60+) strength needed for a sustained rally.
- **Volume:** Page 17 shows Volume MA-20 is ~25M, but current volume is ~11M. The current rally (bounce) is happening on **low volume**, which indicates a lack of institutional conviction. A "Buying Exhaustion" signal was triggered on 2026-02-18 (Page 18).

Confluence:

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- **Bullish:** Supertrend is Green (Buy signal from 304). Fundamentals show the stock is undervalued (Page 24).
- **Bearish:** Weekly trend is down. The stock is approaching a heavy resistance confluence (EMA 50 + Gap Resistance) with declining volume.

Step 3: Formulate the Recommendation

Recommendation: NO (Do Not Enter at Market Price)

Reasoning: While the stock is fundamentally sound and recovering, the technical setup at INR 327 is a "No Man's Land." You are buying right into overhead resistance (EMA 50 at ~340) with declining volume and a "Buying Exhaustion" signal. The risk of rejection at 335-340 is high, which would resume the primary downtrend.

However, because the analyst targets are higher (INR 381) and the MACD is bullish, a **Conditional Setup** is valid if the stock proves it can clear the intermediate resistance.

Conditional Plan (Breakout Trade)

- **Condition to Buy:**
  - The stock must register a **Daily Candle Close above INR 342**.
  - *Why?* This clears the 50 EMA (339.62) and the recent consolidation highs. It confirms the trend has shifted from "oversold bounce" to "recovery."
- **Entry Price: INR 342 - INR 345** (Only after the condition is met).
- **Stop Loss: INR 318** (Daily Closing Basis).
  - *Why?* This places the risk below the 20 EMA and the recent Supertrend support level.
- **Take Profit:**
  - **Target 1: INR 375** (Near the 200 EMA and filling the January gap).
  - **Target 2: INR 395** (Previous breakdown level).
  - *Upside Potential:* ~10% to Target 1.

Risk Management Note: Do not anticipate the breakout. If the price fails to cross 340 and drops below 315, the setup is void, and the stock will likely retest the 300 lows.

Candlestick Classification Analysis

Based on the **Candlestick Classification Report (Page 20)** and the **Chart Analysis (Page 21)**, here is my assessment as a seasoned Price Action Trader.

1. Current Market State: "The Calm After the Storm"

- **Latest Classification: No Control (0)**
- **Recent Trend Score (10-day avg): 0.00**
- **Dominant Behavior:** The historical distribution shows **116 days of "No Control"** vs. only **50 days of "Buyer Control"**. This indicates ITC is historically a choppy stock, but the current context is critical.

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2. Deep Dive Analysis of Page 21 (The Chart)

Looking at the far right of the chart (Jan-Feb 2026), we see a textbook **Capitulation followed by Indecision**.

The Crash (Seller Strong Control): There is a massive, dark red candle (Seller Strong Control) visible around early January 2026.

- *Logic Check:* Large body + High Volume (visible in the bottom pane) + Close near low.
- *Meaning:* Institutions dumped the stock. This created a "supply shock" that the market is still digesting.

The Attempted Recovery (Weak Buyers): Following the crash to ~INR 310, we see a few light green candles (**Buyer Control**).

- *Logic Check:* These bodies are moderate (0.8-1.5 ATR) but likely lack the "High Volume" multiplier (Step 4 of your algorithm) needed to turn them into "Strong Control".
- *Meaning:* This is likely short-covering or weak retail buying (Dead Cat Bounce). There is no "Buyer Strong Control" (+2) candle to signal a V-shaped recovery.

The Current Candle (No Control): The most recent price action is grey/neutral.

- *Logic Check:* Small body (<0.5 ATR) + Wicks on both sides.
- *Meaning:* The buyers have run out of steam at the INR 327 level, but sellers aren't pushing it lower *yet*. The Trend Score of 0.00 confirms a total equilibrium.

3. Volume Logic (Step 4 Validation)

The volume pane at the bottom of Page 21 is the most telling indicator:* **Selling Volume:** The red volume bar during the crash was enormous (>1.3x avg). This confirms the breakdown was valid and institutional.* **Buying Volume:** The recent green volume bars are significantly lower than the crash volume.* **Implication:** The "Buyer Control" candles are low conviction. According to the algorithm, low volume acts as a **0.6x dampener**. This is why the trend score is stuck at 0.00.

4. Prediction & Trade Setup

Directional Bias: Neutral to Bearish (Consolidation)

The chart pattern resembles a **Bear Flag** or a **Pause in a Downtrend**.

Why not Bullish? To call a bottom, I need to see a **Buyer Strong Control (+2)** candle. This requires a large green body *closing near the high* with *high volume*. We do not have this. We only have "No Control" and weak "Buyer Control".

Why Bearish? The prevailing trend is strongly down (from INR 400 to INR 327). A "No Control" (Indecision) signal in a strong downtrend usually resolves in the direction of the trend. The market is taking a breath before deciding whether to test the lows again.

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The Forecast: The price is likely to remain range-bound between **INR 315 (Support)** and **INR 335 (Resistance)** in the immediate short term.

- **Scenario A (Most Likely):** The stock will drift sideways (No Control) and then re-test the recent low of ~INR 310. If a **Seller Control (-1)** candle appears near INR 327, it is a short signal.
- **Scenario B (Reversal):** If we see a candle classification change to **Buyer Strong Control (+2)** with volume exceeding the 10-day average, only then is the trend reversing.

Trader's Verdict: Do not buy yet. The "No Control" classification coupled with a 0.00 trend score indicates a lack of momentum. Wait for the market to tip its hand. The smart money is currently on the sidelines or holding short positions from higher levels.

News & Analyst Targets

As a stock research analyst, I have compiled the latest information on **ITC Limited** for the current week ending **February 21, 2026**.

Market Context: The stock is currently trading under significant pressure following the **Union Budget 2026**, which introduced a steep hike in cigarette taxation (Excise Duty + 40% GST). The stock is currently trading in the **INR 327-INR 332** range, recovering slightly from 52-week lows.

1) Latest News for ITC This Week (Feb 15 - 21, 2026)

- **Cigarette Price Hikes Implemented:** Reports this week confirm that ITC and other tobacco majors have initiated price hikes of **20-40%** across various cigarette brands. This move aims to pass on the burden of the sharp excise duty increase announced in the Union Budget on February 1.
- **Stock Recovery & Volatility:** After hitting a 52-week low earlier in the month, ITC shares showed signs of recovery this week, rallying ~5.5% mid-week on the news of price hikes protecting margins. However, selling pressure resumed towards the end of the week, with the stock closing lower on Friday (Feb 20).
- **FMCG & Agri Support:** While the cigarette business faces headwinds, the non-cigarette FMCG business continues to show resilience with double-digit growth in staples (Atta, Biscuits), acting as a buffer against the tobacco segment's volatility.

2) Brokerage Upgrades & Downgrades

The analyst community has turned largely cautious following the "tax shock" in the February Budget. There has been a wave of **downgrades** this month.* **Downgrades dominate:** Most major foreign and domestic brokerages have downgraded the stock from "Buy" to "Hold" or "Neutral" due to concerns over volume contraction and the potential rise of illicit trade.* **Key Downgrades:** * **JPMorgan** downgraded ITC to **Neutral**. * **Jefferies** downgraded the stock to **Hold**, citing the tax hike as a "big shock." * **Motilal Oswal** moved to a **Neutral** rating, noting the tax hike was "unprecedented." * **Emkay** downgraded the stock to **Reduce**.* **Contrarian View: Sharekhan** has maintained a constructive view (Buy), focusing on the long-term recovery and valuation comfort, though they acknowledge near-term pain.

3) Other News Impacting ITC

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- **Budget 2026 "Tax Shock":** The primary driver of sentiment is the revised tax structure effective from February 1, 2026. The new regime imposes a **40% GST** plus specific excise duties (ranging from INR 2,050 to INR 8,500 per 1,000 sticks). This is expected to disrupt volumes for 6-9 months.
- **Illicit Trade Concerns:** Industry bodies have flagged that the sharp tax hike increases the price gap between legal and illegal cigarettes, potentially boosting the illicit market which would hurt ITC's volumes further.
- **ITC Hotels Demerger (Retrospective):** While the demerger was completed effectively in early 2025, the standalone hotel entity continues to perform, though the current focus for ITC Ltd investors is entirely on the tobacco tax fallout.

4) Latest Analyst Targets (February 2026)

Below is the summary of the latest price targets and ratings issued by major brokerages post-Budget 2026.

Brokerage Firm	Rating	Target Price (INR)	Outlook/Commentary
Nuvama	Hold	415	Cut target; tax hike higher than expected.
Jefferies	Hold	400	Downgraded from Buy; near-term pressure on volumes.
Motilal Oswal	Neutral	400	Downgraded from Buy; valuation multiples reset.
Sharekhan	Buy	400	Maintains positive long-term view despite near-term headwinds.
Axis Securities	Hold	380	Cut margin estimates for FY27; cautious on industry.
JPMorgan	Neutral	375	Reduced from 475; sees limited upside for 6-9 months.
Systematix	Hold	355	Price hikes may mitigate some margin pressure.
Emkay	Reduce	--	Cited damage to medium-term outlook.

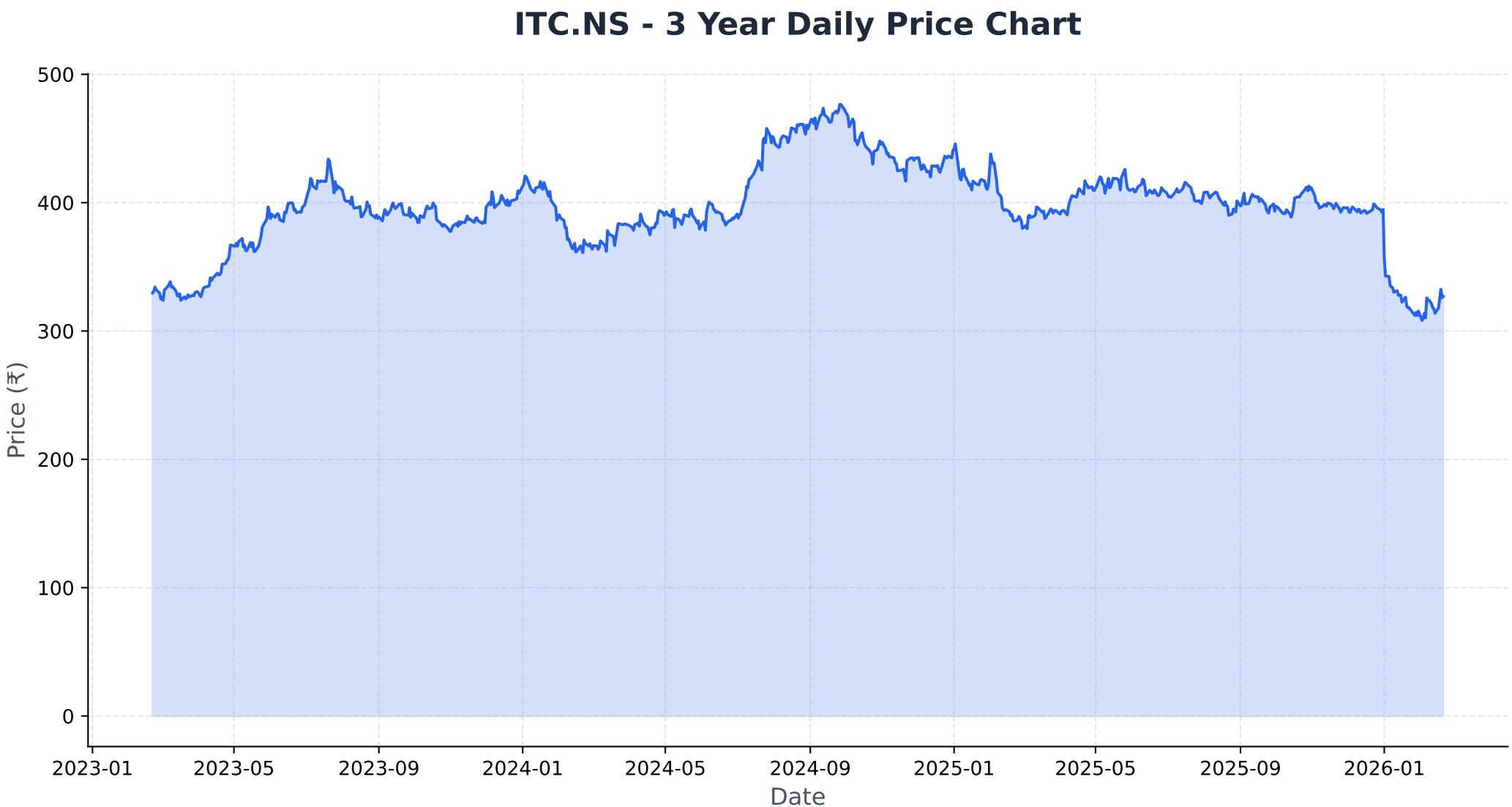
Consensus: The street average target has shifted downwards to the **INR 380-INR 400** range, suggesting limited upside from current levels until volume stability returns.

Stock Detailed Analysis Report

ITC.NS

Current Price: ₹327.00

Generated: 2026-02-21 09:14


ITC.NS - 3 Year Daily Price Chart
500
400
300
200
100
0
Price (₹)
2023-01
2023-05
2023-09
2024-01
2024-05
2024-09
2025-01
2025-05
2025-09
2026-01
Date

Long-term Fundamental Analysis (4 Years)

Metric	Is Growing?	Accelerating?	1Y Growth	3Y CAGR
Revenue	Yes	Yes	10.78%	7.51%
Net Income	Yes	Yes	69.84%	31.61%
ROE	Yes	Yes	80.69%	26.68%
EPS	Yes	Yes	69.24%	30.97%

Short-term Fundamental Analysis (6 Quarters)

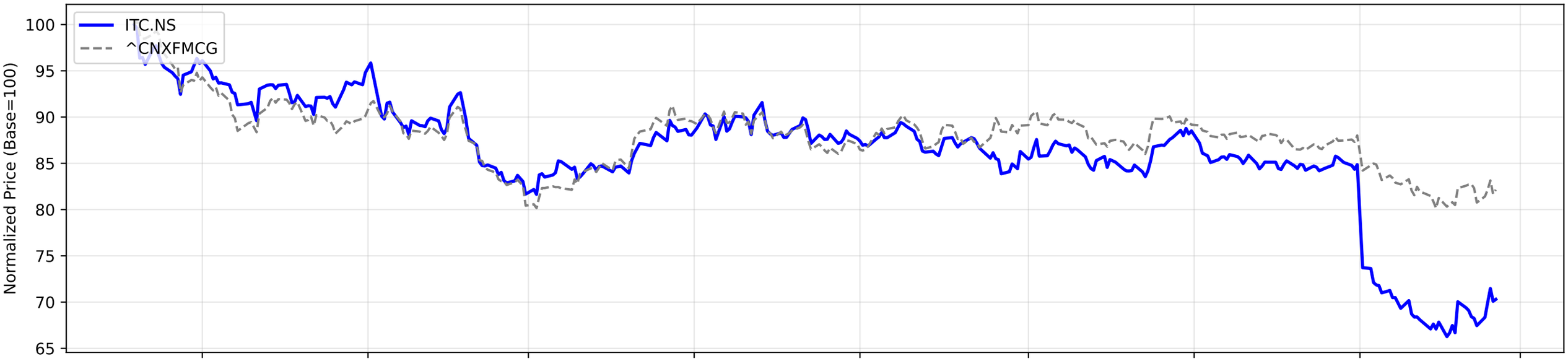
Metric	Is Growing?	Recent QoQ	Avg QoQ
Revenue	Yes	-6.81%	0.47%
Net Income	Yes	-5.97%	54.80%
ROE	Yes	324.65%	324.65%
EPS	No	-5.97%	-3.06%

ITC.NS - Relative Strength Analysis

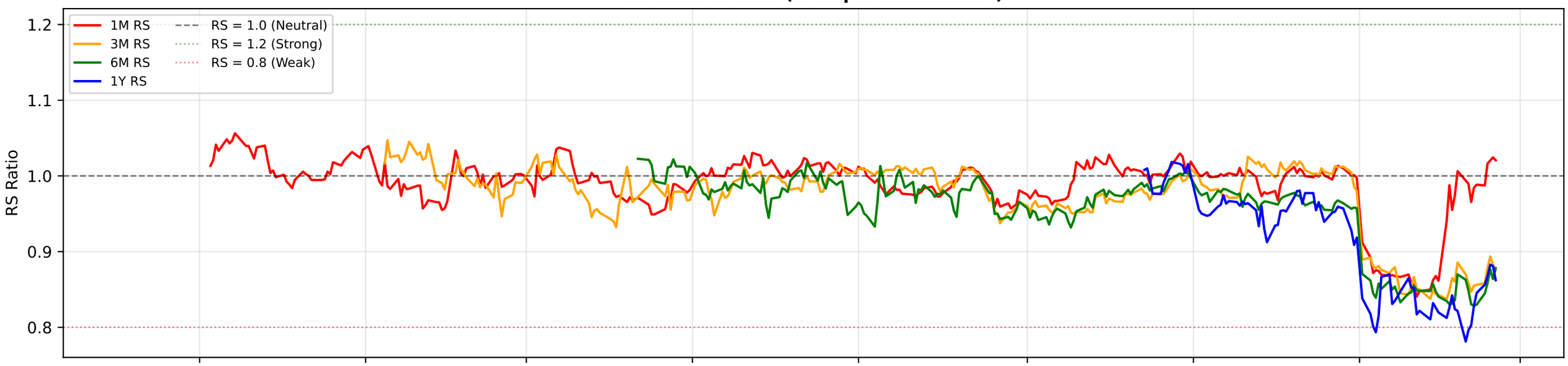
═══ OVERVIEW ═══:	
Benchmark Index:	^CNXFMCG
Sector:	FMCG
Classification:	**Emerging Leader**
RS Score:	45.9/100
:	
═══ RS RATIOS ═══:	
1M RS:	**1.021 [Leader]**
3M RS:	**0.876 [Neutral]**
6M RS:	**0.878 [Neutral]**
1Y RS:	**0.862 [Neutral]**
:	
═══ TURNAROUND ANALYSIS ═══:	
Turnaround Status:	**!! DETECTED !!**
:	
SIGNAL CRITERIA::	
✓ **Emerging RS:**	1M (1.021) > 3M (0.876)
✓ **Medium-term Lagging:**	6M=0.878, 1Y=0.862 (≤1.0)
✓ **Performance Improving:**	3M (-17.7%) > 6M (-18.4%)

Relative Strength Analysis: ITC.NS vs ^CNXFMCG
Classification: Emerging Leader

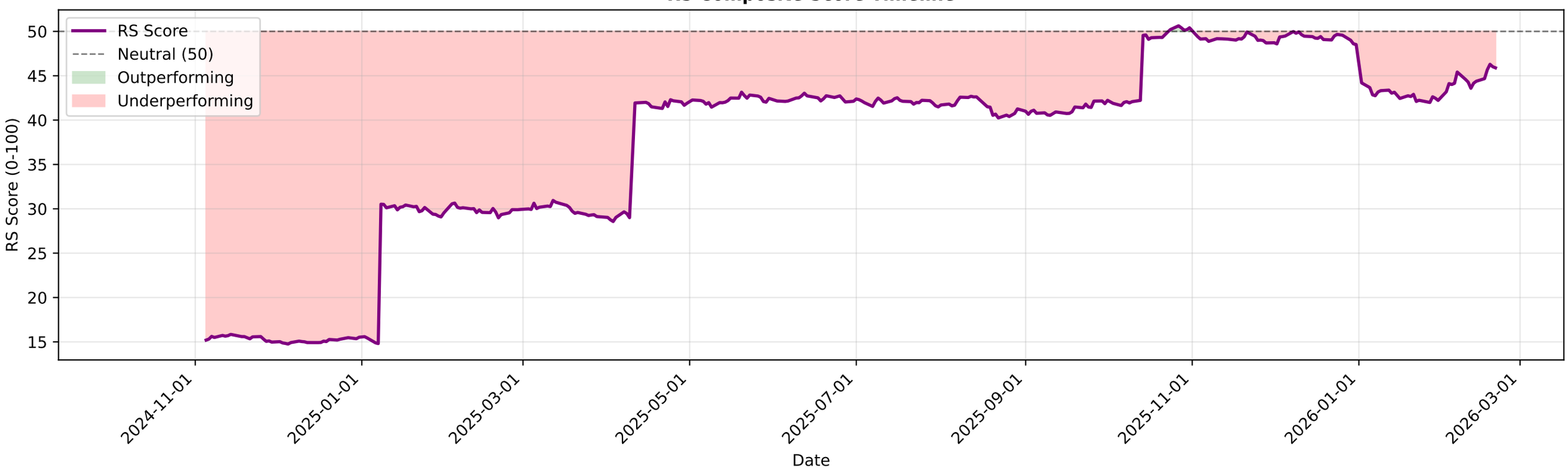
Price Performance Comparison (Normalized)



RS Ratio Trends (Multiple Timeframes)

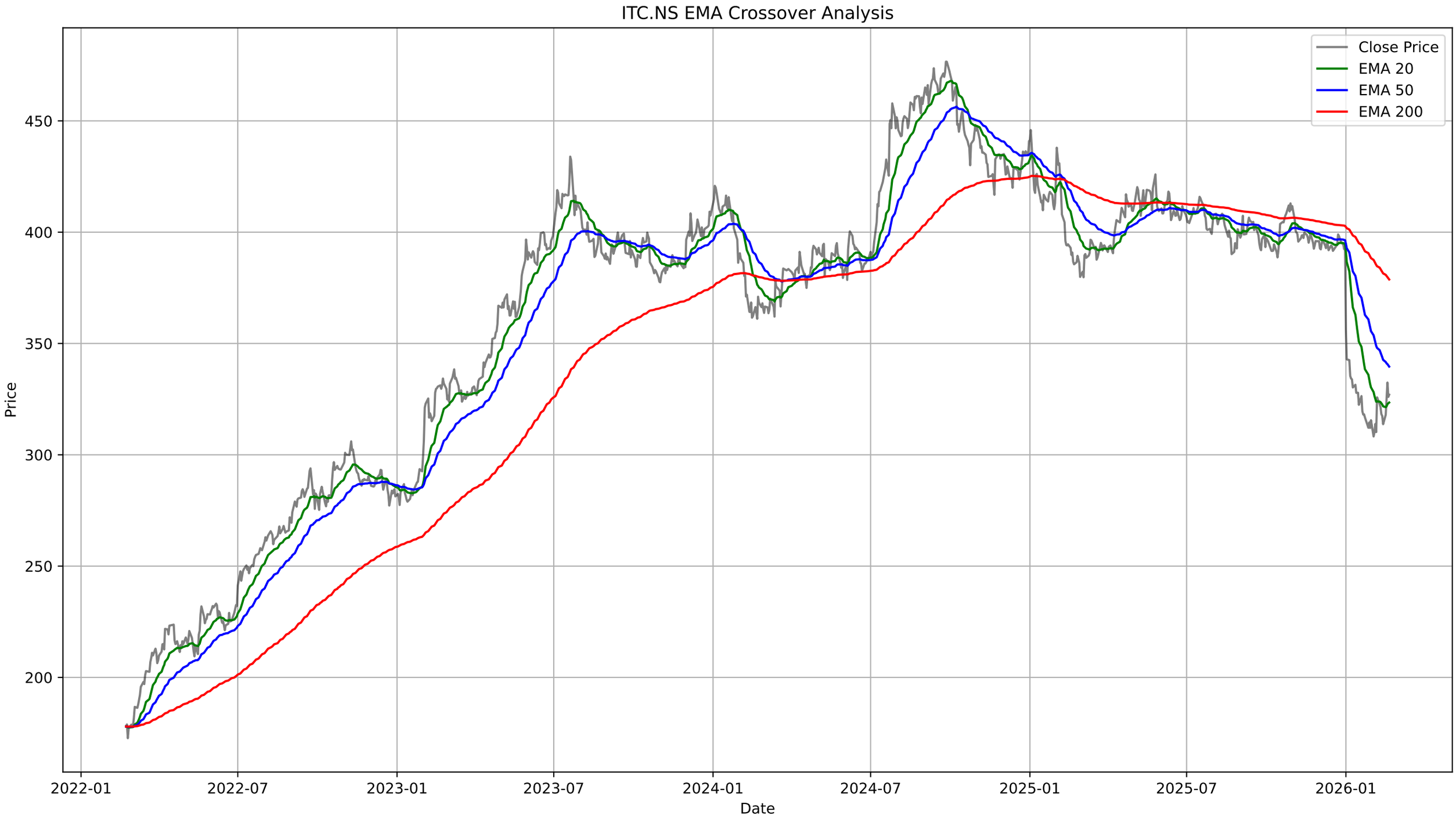


RS Composite Score Timeline



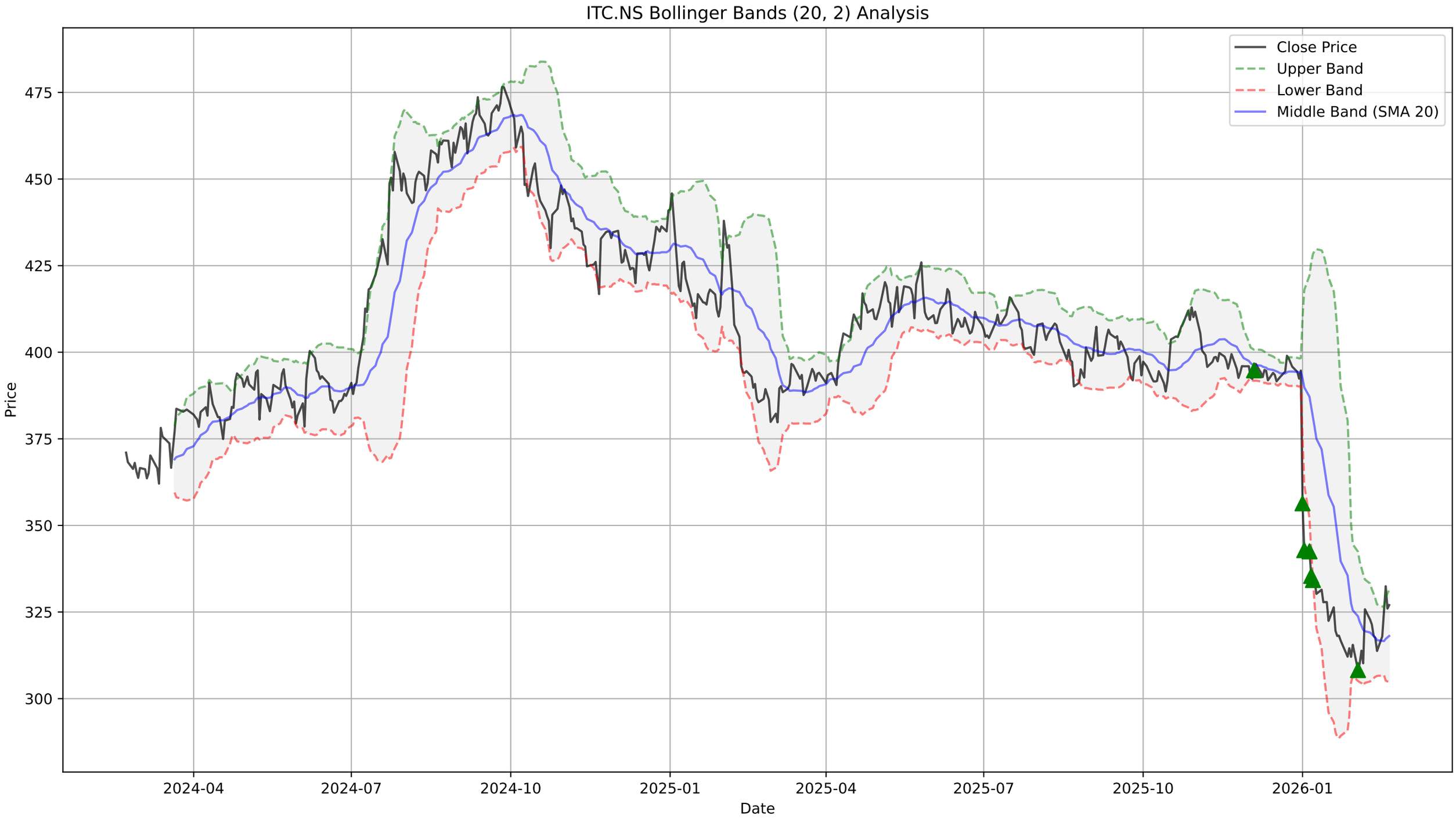
ITC.NS - EMA Crossover Summary

EMA 20:	323.47
EMA 50:	339.62
EMA 200:	378.76
Trend Status:	**Strong Downtrend**


ITC.NS EMA Crossover Analysis
Close Price
EMA 20
EMA 50
EMA 200
Price
450
400
350
300
250
200
2022-01
2022-07
2023-01
2023-07
2024-01
2024-07
2025-01
2025-07
2026-01
Date

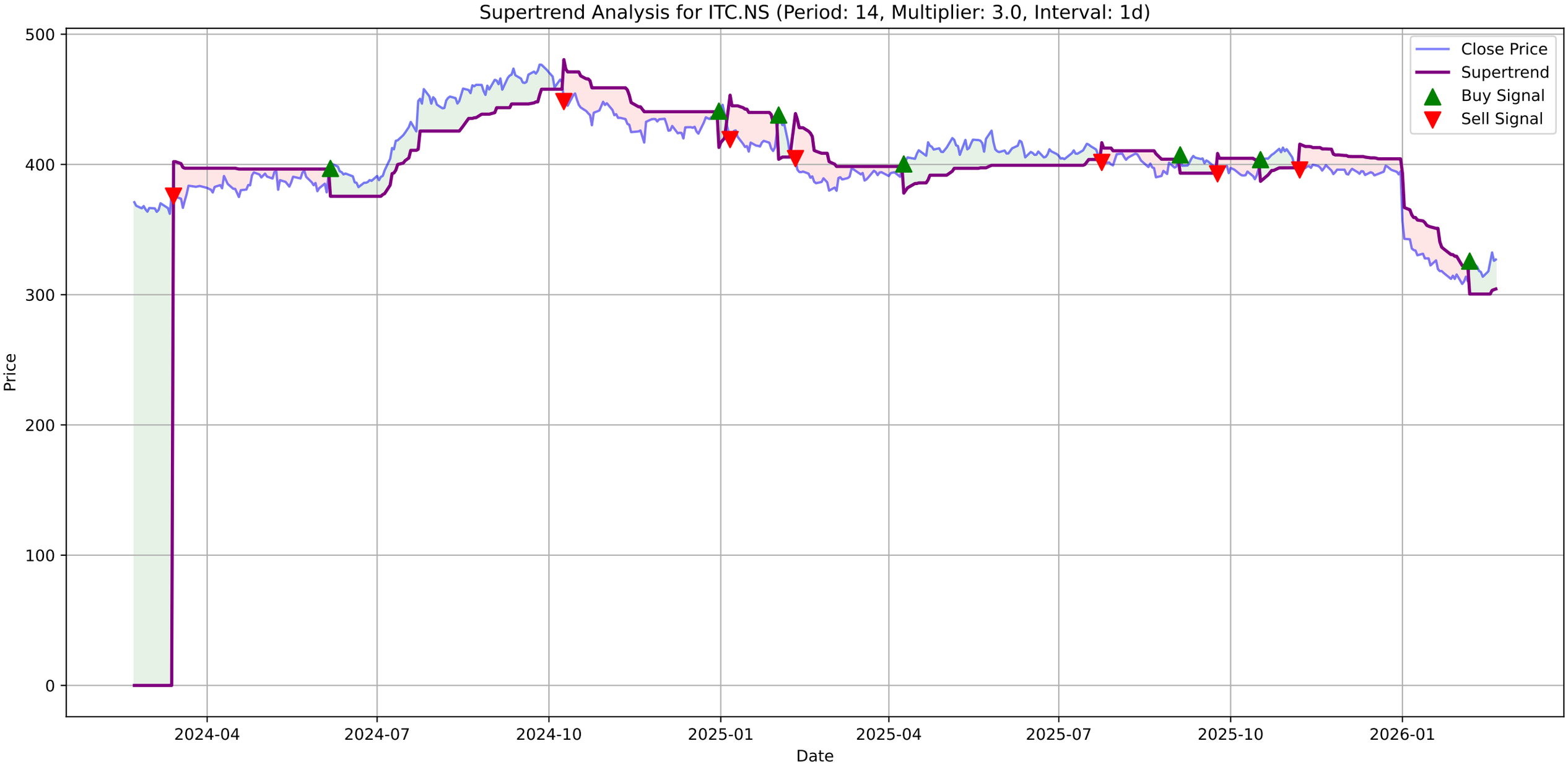
ITC.NS - Bollinger Bands Summary

Current Price:	327.00
Upper Band:	331.44
Middle Band (SMA 20):	318.09
Lower Band:	304.73
%B:	0.8336
Band Width:	0.0840
Status:	Upper Half
Signal:	None
Recent Signal 1:	**Buy Signal at 2026-01-06 00:00:00+05:30**
Recent Signal 2:	**Buy Signal at 2026-01-07 00:00:00+05:30**
Recent Signal 3:	**Buy Signal at 2026-02-02 00:00:00+05:30**


ITC.NS Bollinger Bands (20, 2) Analysis
Close Price
Upper Band
Lower Band
Middle Band (SMA 20)
Price
475
450
425
400
375
350
325
300
2024-04
2024-07
2024-10
2025-01
2025-04
2025-07
2025-10
2026-01
Date

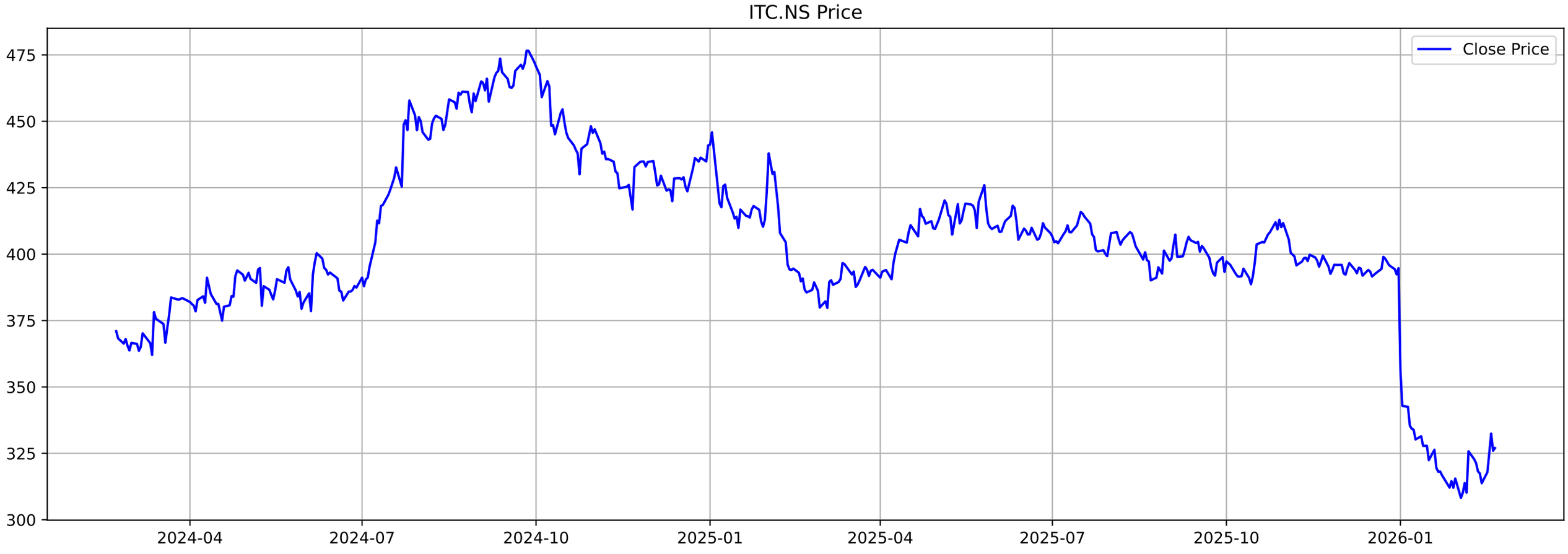
ITC.NS - Supertrend Summary

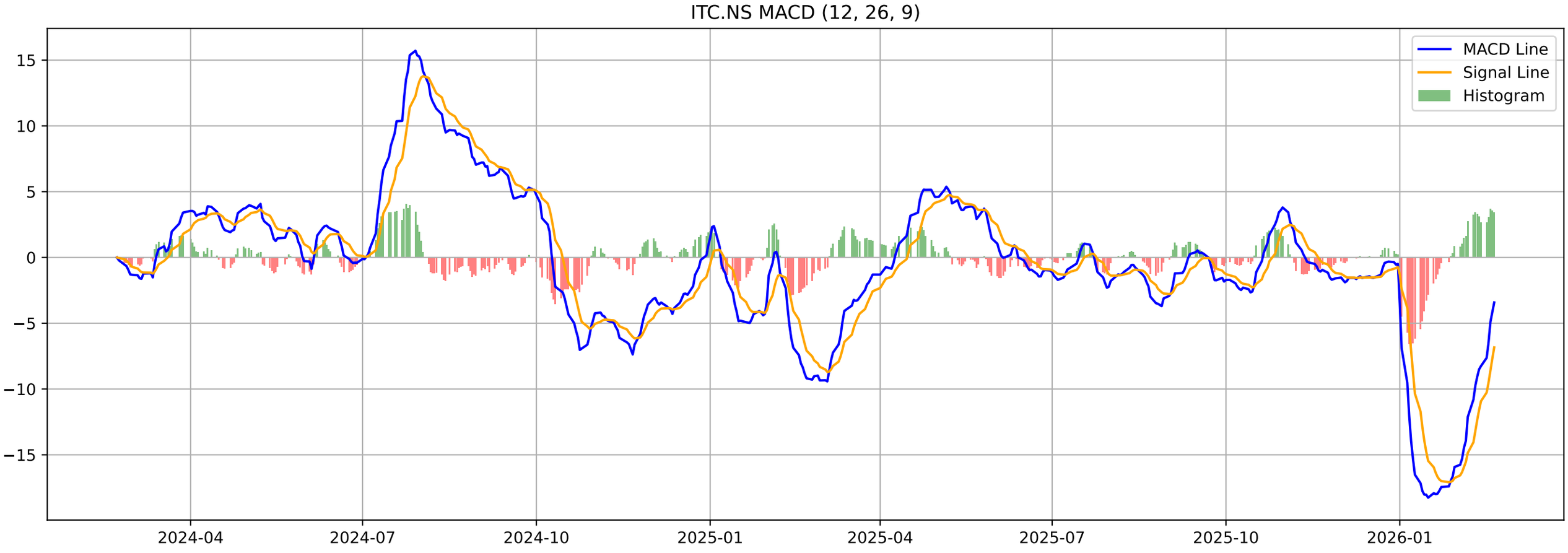
Status:	**UPTREND (Buy)**
Supertrend Value:	304.39
Signal Identified On:	2026-02-06


Supertrend Analysis for ITC.NS (Period: 14, Multiplier: 3.0, Interval: 1d)
Close Price
Supertrend
Buy Signal
Sell Signal
Price
Date
500
400
300
200
100
0
2024-04
2024-07
2024-10
2025-01
2025-04
2025-07
2025-10
2026-01

ITC.NS - MACD Summary

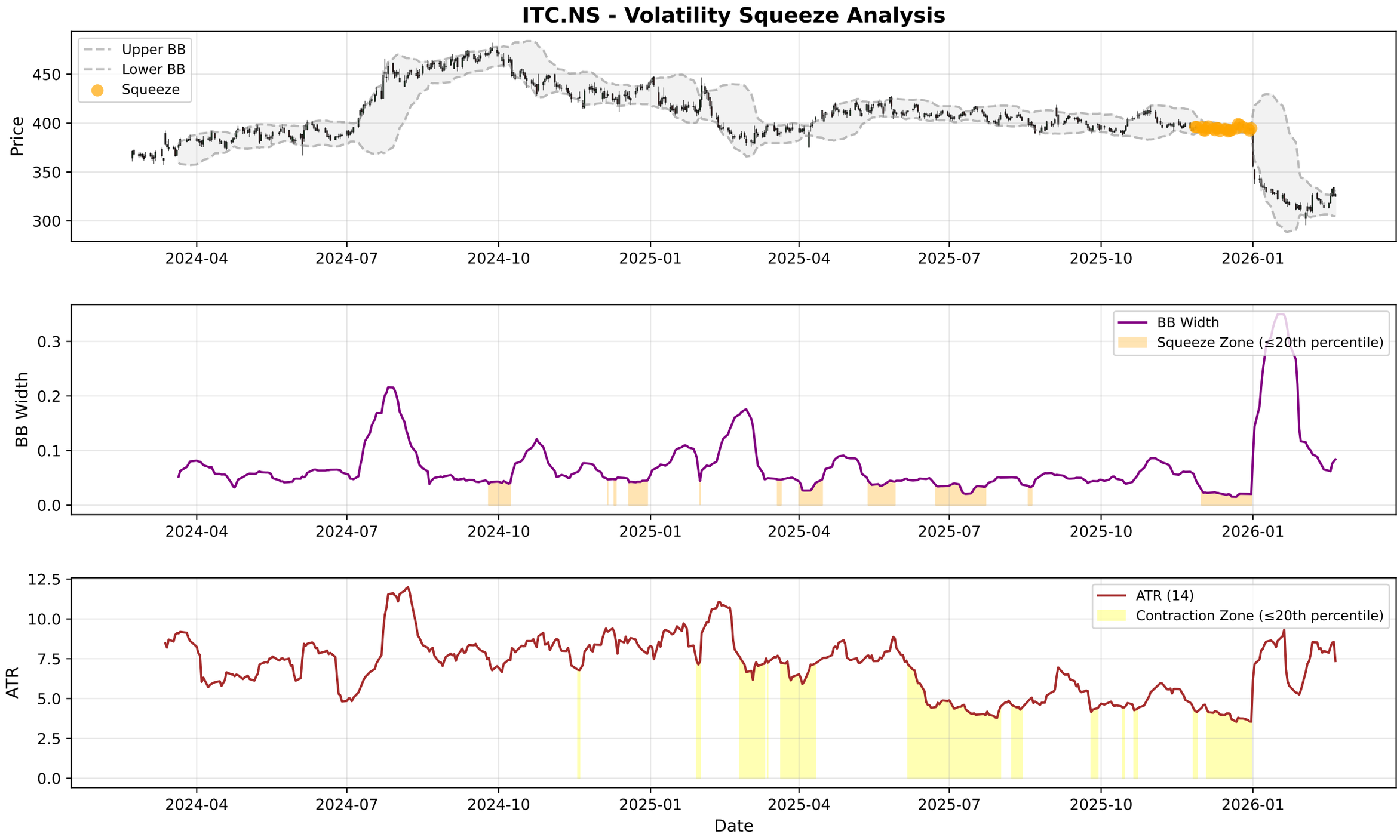
MACD Line:	-3.42
Signal Line:	-6.84
Histogram:	3.42
Trend:	**Bullish**
Momentum:	**Weakening**
Signal:	None


ITC.NS Price
Close Price
475
450
425
400
375
350
325
300
2024-04
2024-07
2024-10
2025-01
2025-04
2025-07
2025-10
2026-01


ITC.NS MACD (12, 26, 9)
MACD Line
Signal Line
Histogram
15
10
5
0
−5
−10
−15
2024-04
2024-07
2024-10
2025-01
2025-04
2025-07
2025-10
2026-01

ITC.NS - Volatility Squeeze Summary

BB Width:	0.0840
ATR:	7.3522
Total Signals:	24
Signal 1:	BB Squeeze + ATR Contraction at 2025-12-24 00:00:00+05:30 (Pr
Signal 2:	BB Squeeze + ATR Contraction at 2025-12-26 00:00:00+05:30 (Pr
Signal 3:	BB Squeeze + ATR Contraction at 2025-12-29 00:00:00+05:30 (Pr
Signal 4:	BB Squeeze + ATR Contraction at 2025-12-30 00:00:00+05:30 (Pr
Signal 5:	BB Squeeze + ATR Contraction at 2025-12-31 00:00:00+05:30 (Pr


ITC.NS - Volatility Squeeze Analysis
Upper BB
Lower BB
Squeeze
Price
450
400
350
300
2024-04
2024-07
2024-10
2025-01
2025-04
2025-07
2025-10
2026-01
BB Width
Squeeze Zone (≤20th percentile)
0.3
0.2
0.1
0.0
ATR (14)
Contraction Zone (≤20th percentile)
ATR
12.5
10.0
7.5
5.0
2.5
0.0
Date

ITC.NS - RSI-Volume Summary

Current RSI:	50.41
Current Volume:	11282027
Volume MA 20:	25374937
Bullish Divergences:	2
Bearish Divergences:	4
Bullish Div 1:	Date: 2025-10-14 00:00:00+05:30, Price: 388.65
Bullish Div 2:	Date: 2025-12-17 00:00:00+05:30, Price: 391.59
Bearish Div 1:	Date: 2024-09-26 00:00:00+05:30, Price: 476.59
Bearish Div 2:	Date: 2025-05-05 00:00:00+05:30, Price: 420.24

ITC.NS RSI-Volume Divergence Analysis
Price
475
450
425
400
375
350
325
300
2024-04
2024-07
2024-10
2025-01
2025-04
2025-07
2025-10
2026-01
Relative Strength Index (RSI)
RSI
100
80
60
40
20
0
RSI (14)
Overbought (70)
Oversold (30)
Volume with Moving Averages
1e8
Volume
4
3
2
1
0
Volume MA-20
Volume MA-50
Date

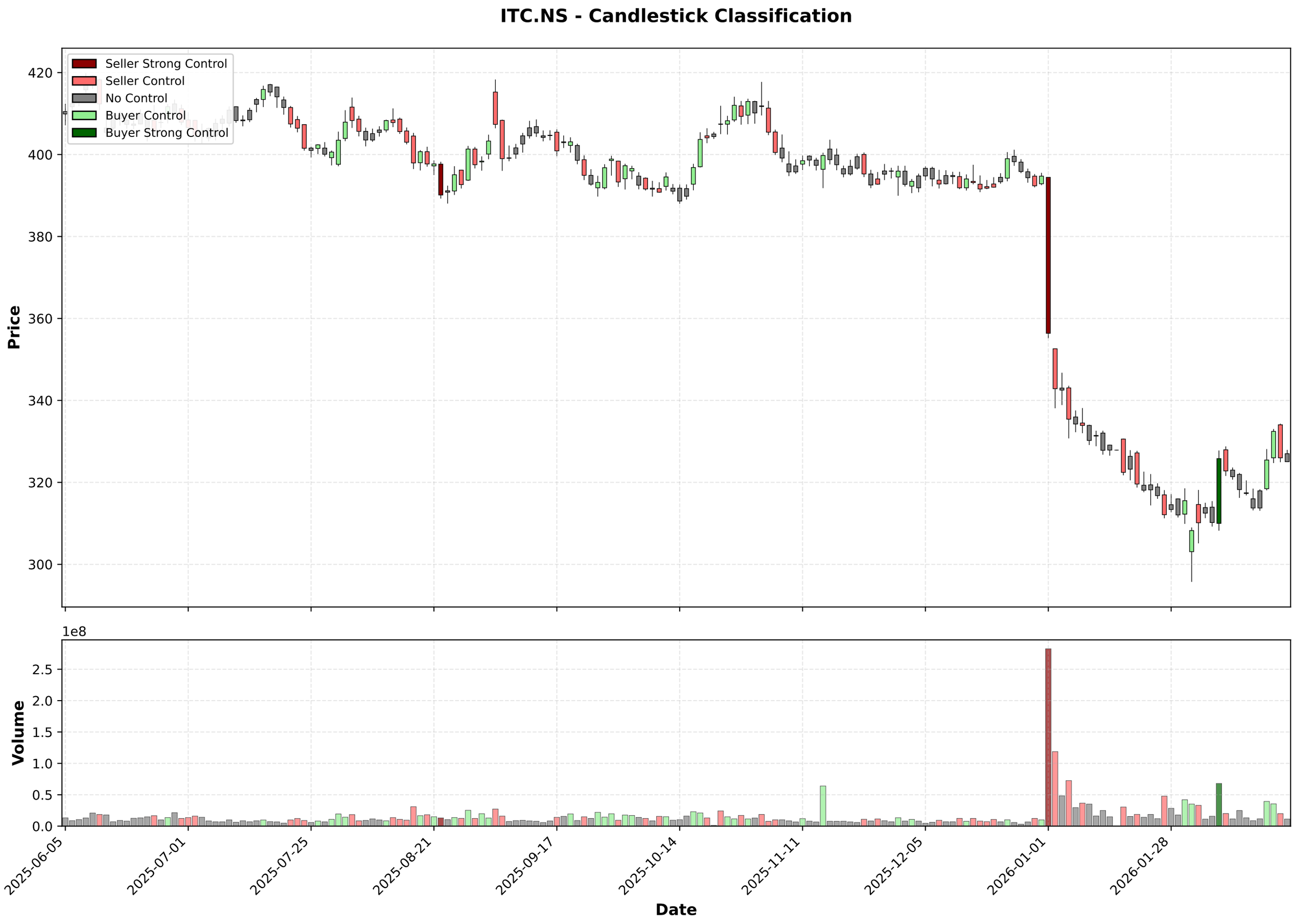
ITC.NS - Volume Analysis

═══ VOLUME ANALYSIS ═══:	
Status:	**43 Signals Detected**
:	
2026-01-05 [-]:	Distribution Day
2026-01-08 [-]:	Distribution Day
2026-01-27 [-]:	Distribution Day
2026-02-11 [-]:	Distribution Day
2026-02-18 [+]:	**Buying Exhaustion (Bearish Div)**

ITC.NS - Volume Analysis
Close Price
Peaks
Troughs
Distribution
Buying Exhaustion
Selling Exhaustion
Price
420
400
380
360
340
320
2025-03
2025-05
2025-07
2025-09
2025-11
2026-01
2026-03
1e8
Vol MA (20)
Volume
Volume
4
3
2
1
0
Date

ITC.NS - Candlestick Classification Summary

═══ CANDLESTICK CLASSIFICATION ═══:	
Latest Classification:	**No Control**
Recent Trend Score (10-day avg):	0.00
:	
Distribution:	
No Control:	116
Seller Control:	58
Buyer Control:	50
Buyer Strong Control:	2
Seller Strong Control:	2

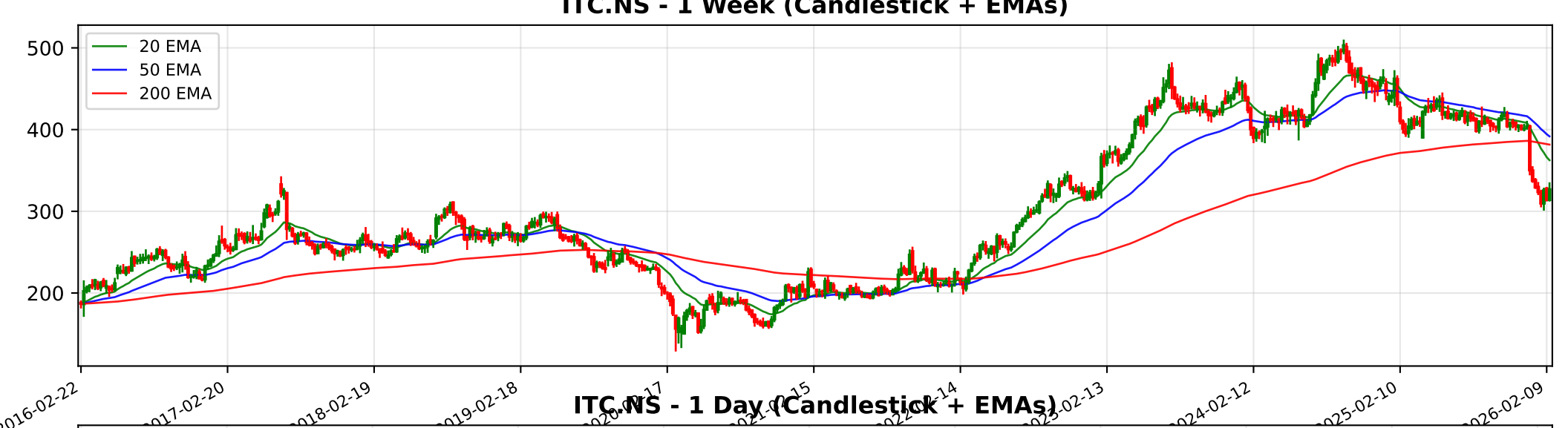

ITC.NS - Candlestick Classification
Seller Strong Control
Seller Control
No Control
Buyer Control
Buyer Strong Control
Price
420
400
380
360
340
320
300
1e8
Volume
2.5
2.0
1.5
1.0
0.5
0.0
2025-06-05
2025-07-01
2025-07-25
2025-08-21
2025-09-17
2025-10-14
2025-11-11
2025-12-05
2026-01-01
2026-01-28
Date

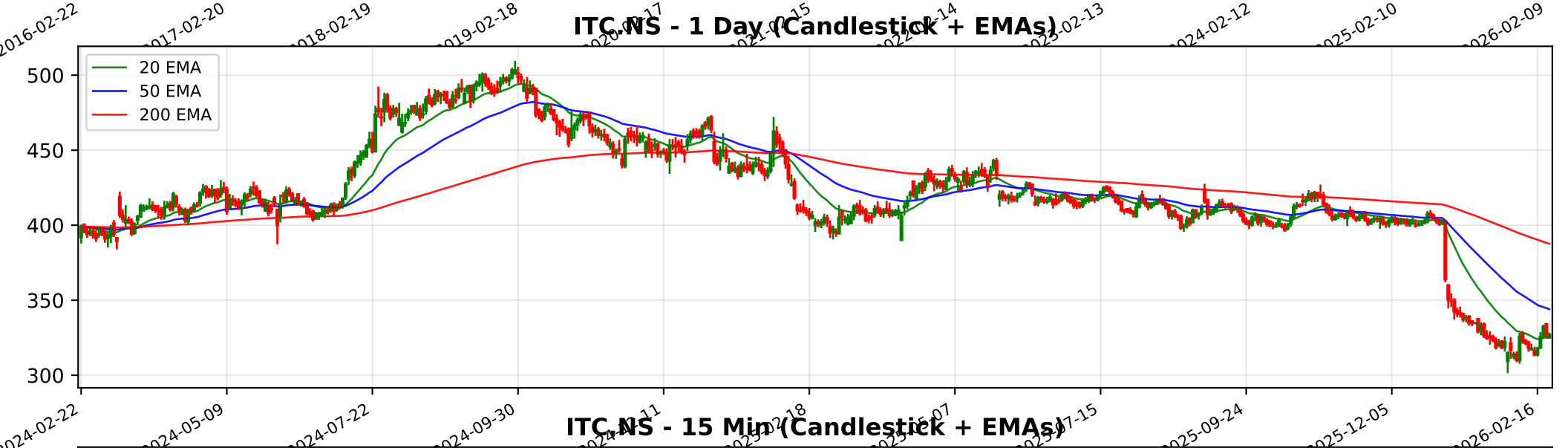
Multi-Timeframe Supertrend Analysis

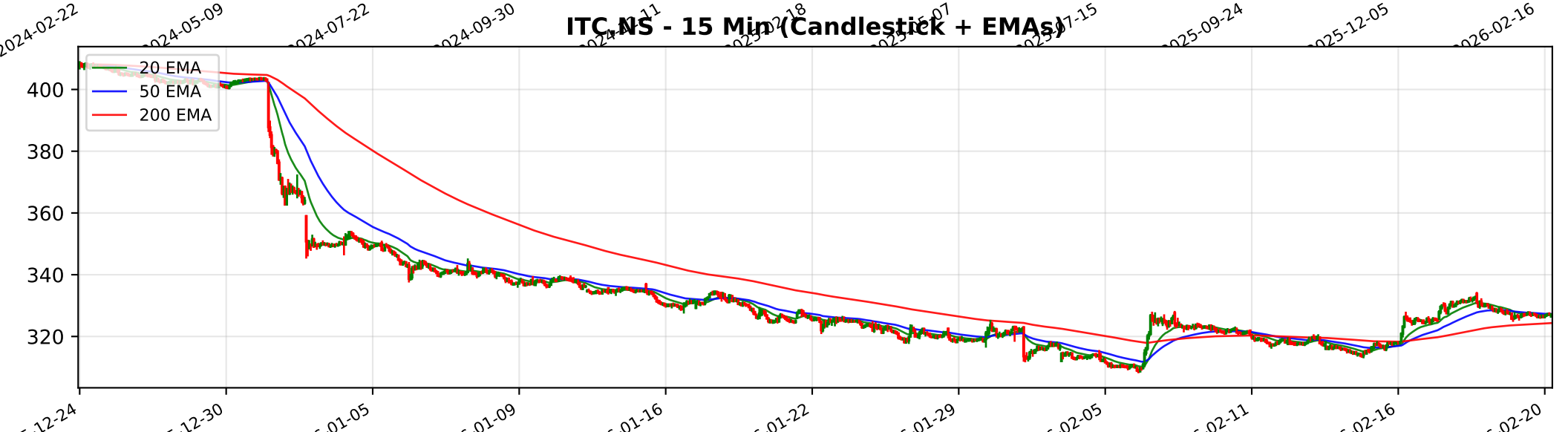
Timeframe	Status	Value	Last Price	Signal Date
1 Week	**DOWNTREND (Sell)**	354.5	327.0	2024-10-07
1 Day	**UPTREND (Buy)**	306.8	327.0	2026-02-18
15 Min	**DOWNTREND (Sell)**	328.04	327.2	2026-02-19

Multi-Timeframe MACD Analysis

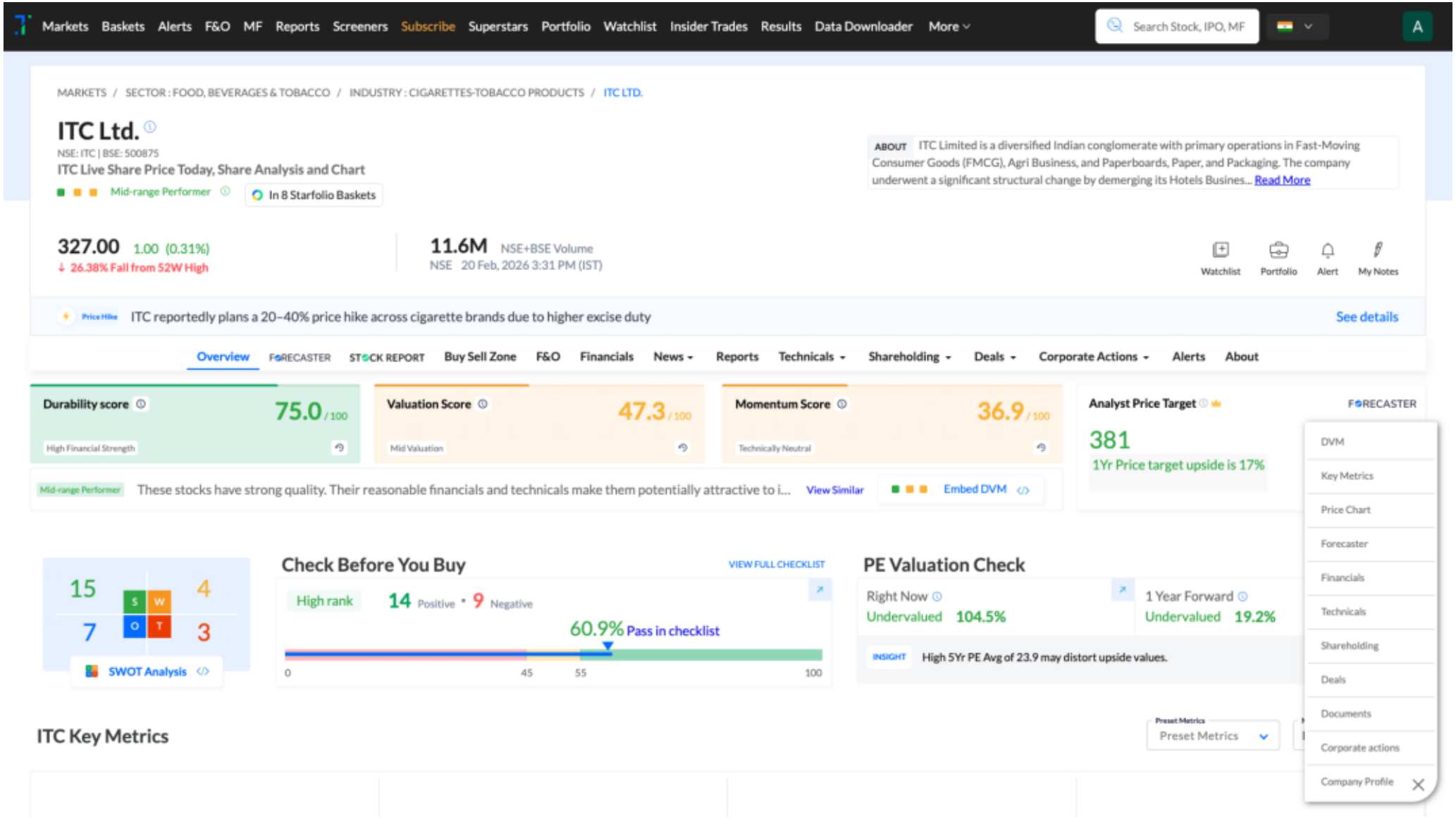
Timeframe	Trend	Momentum	Signal
1 Week	**Bearish**	Weakening	No Signal
1 Day	**Bullish**	Weakening	No Signal
15 Min	**Bullish**	Strengthening	No Signal


ITC.NS - 1 Week (Candlestick + EMAs)
20 EMA
50 EMA
200 EMA
500
400
300
200
2016-02-22
2017-02-20
2018-02-19
2019-02-18
2024-02-12
2025-02-10
2026-02-09


ITC.NS - 1 Day (Candlestick + EMAs)
20 EMA
50 EMA
200 EMA
500
450
400
350
300
2024-02-22
2024-05-09
2024-07-22
2024-09-30
2025-09-24
2025-12-05
2026-02-16


ITC.NS - 15 Min (Candlestick + EMAs)
20 EMA
50 EMA
200 EMA
400
380
360
340
320

Trendlyne Snapshot - ITC_main



Trendlyne Snapshot - ITC_forecaster

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ITC Ltd.

NSE: ITC | BSE: 500875

Mid-range Performer

In 8 Starfolio Baskets

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327.00 1.00 (0.31%)

↓ 26.38% Fall from 52W High

11.6M NSE+BSE Volume

NSE 20 Feb, 2026 3:31 PM (IST)

Watchlist Portfolio Alert My Notes

Price Hike ITC reportedly plans a 20–40% price hike across cigarette brands due to higher excise duty

See details

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ITC - ITC - stock price prediction, stock forecast, target price, analyst ratings from 36 analysts

ITC has a share price target of Rs 381, revenue growth forecast of 7.6%, and profit growth estimate of -42.1% for FY26, based on top 36 analyst calls.

ITC FORECASTER - Analyst Estimates

FORECASTER DASHBOARD →

SHARE PRICE TARGET FORECAST

12 MONTH ESTIMATE

EPS FORECAST

QUARTER ANNUAL

CONSENSUS RECOMMENDATION

36 ANALYST Recommendations

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